

FY26 on the town side, as the books stood in June

Generated 2026-09-02 from `sources/analyses/fy26-closeout-town.md`. Every figure is recomputed from `sources/data/lunenburg.db` by `scripts/verify_fy26_closeout_town.py`. A printed page outlives the numbers on it: re-run that script before quoting anything here.

Working state: `notes/HANDOFF.md` carries the current branch and what is established versus assumed.
`CLAUDE.md` carries the rules.

Analysis, 2 September 2026. Companion to `analyses/fy26-closeout.md`, which reads the same report for the school department. Every figure recomputed by `scripts/verify_fy26_closeout_town.py` from `sources/data/lunenburg.db`.

Each section is written twice: **In plain terms** for anyone, and **The evidence** for anyone who wants to check it.

What this rests on, and what it is not

The FY26 year-to-date budget report sent by the Town Manager on 2 September 2026, at account level: 376 accounts across 67 departments, everything except the school department (300) and school non-recurring (301).

The same three limits apply as on the school side. It is **period 12, not 13** — June, with the books open, before purchase orders are cleared. **Zero-balance accounts are suppressed**, so nothing here reasons from what is absent. And it is **expenditures only, Fund 0100** — no enterprise funds, no grants, no revolving funds.

Nothing in this document is a surplus. It is a position.

1. The town underspends differently from the schools

IN PLAIN TERMS

Both sides came in under budget. They got there in completely different ways.

On the town side, **220 accounts were under and only 18 were over**. On the school side, 160 were under and **57** were over. About one school account in five overspent; on the town side it is fewer than one in twenty.

THE EVIDENCE

	ACCOUNTS	UNDER	ACCOUNTS	OVER	NET
Town, 67 departments, 376 accounts	220	\$1,279,769	18	\$421,307	\$858,462
Schools, 259 accounts	160	\$1,683,534	57	\$1,219,295	\$464,239

Both rows are departments 300 **and** 301 excluded or included consistently. The companion school analysis covers department 300 alone — 258 accounts, 56 over, \$1,201,434 — because 301 is a single separate appropriation. Adding it moves the school row by one account and \$17,862, and that account is **CURR ADOPT**, curriculum adoption, which spent \$43,639 against a revised \$35,777.

Town totals at period 12: **\$24,902,491** appropriated, **\$2,745,179** transferred in, **\$27,647,670** revised, **\$26,506,667** spent, **\$282,542** encumbered, **\$858,462** unspent, across **376** accounts in **67** departments.

WHAT THIS DOES NOT SHOW

Why. Four readings fit and nothing here separates them: school budgets may be set tighter against known costs; the town may transfer more readily during the year so an account never shows as over; the two may code differently, with the schools carrying more small accounts that can each tip negative; or school costs may simply be less controllable. The ratio is a fact. The explanation is not.

2. Snow removal cost \$1,038,092 against a budget of \$355,571

IN PLAIN TERMS

Snow was budgeted at **\$355,571**. It was given **\$520,319** more during the year. It still finished **\$162,521 over** — total spending of **\$1,038,092**, which is **292% of what the town appropriated**.

It is the single largest budget miss in the FY26 town books, and it is bigger than the school department's entire net underspend.

THE EVIDENCE

ACCOUNT		ORIGINAL	TRANSFERRED IN	REVISED	SPENT	LEFT
531003	CONTR SERV	\$114,500	+\$381,730	\$496,230	\$496,230.00	\$0
531029	SUPP SNOW	\$205,151	+\$138,589	\$343,740	\$402,039.54	-\$58,300
513000	SNOW REMOV (wages)	\$23,420	\$0	\$23,420	\$126,286.35	-\$102,866
531030	HIRED SNOW	\$7,500	\$0	\$7,500	\$9,174.15	-\$1,674
531006	PURCH SERV	\$5,000	-\$319	\$4,681	\$4,362.42	+\$319
	department 423	\$355,571	+\$520,000	\$875,571	\$1,038,092.46	-\$162,521

Two things in that table are worth reading closely.

CONTR SERV was given \$381,730 and then spent **exactly** \$496,230.00, to the penny of its revised budget. A transfer sized precisely to what was spent is what a year-end transfer looks like: the budget is moved to cover the actual, not the other way round.

SNOW REMOV — the wages line — got **no transfer at all** and spent **539%** of its \$23,420 budget. It is the account most over its appropriation anywhere in the town books.

WHAT THIS DOES NOT SHOW

Snow and ice is the one thing a Massachusetts town may lawfully overspend, which is why this department can end a year negative where others cannot. **We hold no document stating that authority**, and it is named here as the ordinary explanation rather than as something this project has verified.

Nor does this say the winter was severe. It says what was spent.

3. The Reserve Fund was never touched

IN PLAIN TERMS

The town budgeted **\$185,000** as a Reserve Fund — the contingency it holds for unforeseen costs. At the end of June it had spent **nothing**. Not one dollar.

In the same year snow removal ran \$682,521 past its original appropriation.

THE EVIDENCE

DEPARTMENT	ACCOUNT	BUDGETED	TRANSFERRED OUT	SPENT
132 RESERVE FUND	RES FUND	\$185,000	\$0	\$0.00
133 SALARY RESERVE	RES FUND	\$180,000	-\$128,953.67	\$51,046.33
133 SALARY RESERVE	RETIRE/BUY	\$30,000	\$0	\$0.00

The salary reserve did its job: it gave away \$128,954 of its \$180,000 and spent the rest. The Reserve Fund proper did nothing, and the retirement buy-back reserve did nothing.

\$215,000 of contingency went unused, which is 25% of the town's entire net underspend.

WHAT THIS DOES NOT SHOW

That this is a finding rather than a procedure. A Reserve Fund transfer requires Finance Committee approval, and snow deficit spending does not — so a town facing a snow overrun would not necessarily reach for it. Whether \$185,000 sitting idle reflects a deliberate policy, an unspent contingency in a mild year, or a reserve nobody asked to use, is not established here.

4. \$3.3 million left the operating budget for capital and reserves

IN PLAIN TERMS

Two accounts exist to move money out of the operating budget: one into capital projects, one into stabilization and trust funds. Between them they were budgeted \$1,285,000 and moved **\$3,321,257** — more than two and a half times as much.

This is the largest single movement in the FY26 town books, and it is money the operating budget raised and then sent somewhere else.

THE EVIDENCE

DEPARTMENT		ORIGINAL	TRANSFERRED IN	SPENT
993	Transfer to capital project fund	\$1,052,500	+\$1,240,820.32	\$2,293,320.32
996	Transfer to trust and stabilization	\$232,500	+\$795,437.00	\$1,027,937.00
together		\$1,285,000	+\$2,036,257.32	\$3,321,257.32

Both spent their revised budget to the dollar, which is what a transfer account does: the money arrives and immediately leaves.

WHAT THIS DOES NOT SHOW

Where the incoming \$2,036,257 was voted from. These accounts received more than they were appropriated, so something outside the original appropriation funded them — free cash, a stabilization draw, a Town Meeting article. The ledger records that the budget changed and never records the counterparty. That is the same gap the school department's transfers run into, and the same document would close it.

5. The schools cost the town money the school budget never shows

IN PLAIN TERMS

The town's insurance department spent **\$3,598,785** in FY26. Of that, **\$1,262,376 is explicitly school retiree health insurance** — a real cost of running the schools, sitting in a town department, appearing nowhere in the school budget the School Committee votes on.

An unknown share of the remaining \$2,336,409 is health insurance for **serving** school employees. The account names do not separate town from school, so it cannot be measured.

THE EVIDENCE

ACCOUNT		REVISED	SPENT	LEFT
570018	SCHRETHLTH — school retiree health	\$1,521,536	\$1,262,376.00	+\$259,160
570001	HEALTH INS	\$1,315,270	\$1,376,557.17	-\$61,287
570009	TNRETHLTHI — town retiree health	\$453,215	\$593,088.85	-\$139,874
570003	MEDI	\$400,000	\$345,848.60	+\$54,151
570002	LIFE INS	\$15,000	\$12,864.84	+\$2,135
four smaller accounts			\$8,049.98	
department 914			\$3,598,785.44	

Elsewhere, department 210 carries SCHRESSTIP at \$6,800 — a school resource stipend in the police budget.

False friends, checked and discarded. Nine town accounts match a search for SCH. Two are the ones above. The other seven are named MTGS/SCH00, MTG/SCH FF, MEET/SCH00 — meetings and schooling, meaning staff training, not schools. They total \$9,944.81 and are excluded. A name match is a candidate, not a finding.

WHY THIS MATTERS BEYOND THE MONEY

This is the mechanism behind a number this project has had to be careful with. DESE reports Lunenburg's FY24 in-district spending at \$26,914,321.89 against a general fund school appropriation of about \$22.8M, and the difference is not hidden money — it is costs like these, which DESE attributes to the schools and the school budget does not carry.

\$1,269,176 of it can now be named. The rest cannot, and this is the first document in this project able to point at any of it in the ledger.

WHAT THIS DOES NOT SHOW

How much active school employee insurance is in the \$1,315,270 HEALTH INS line. The account does not split town from school. It could be most of it or little of it.

6. Spending against a zero budget — and why the school case is still different

IN PLAIN TERMS

analyses/fy26-closeout.md §3 reports two kindergarten paraprofessional accounts that spent \$99,064 with no appropriation and no transfer. The obvious question is whether that is unusual, so it was checked against the town side.

Thirteen non-school accounts spent money with no original appropriation. Eleven of them received a transfer that covered it. The remaining two are one event, not two — and it is not the same event as the kindergarten accounts at all.

THE EVIDENCE

Eleven were covered by a transfer, and that is the ordinary mechanism working:

DEPARTMENT	ACCOUNT	TRANSFERRED IN	SPENT
164 Town Clerk	TN CLK SAL	+\$80,629	\$78,466.44
992	TR SPE REV	+\$15,000	\$15,000.00
136	AUDIT COST	+\$8,500	\$8,500.00
170	CONSULTANT	+\$8,971	\$8,187.54
141	TEMP SALAR	+\$13,347	\$4,276.20
136	GASB45VALU	+\$4,100	\$4,100.00
...	five smaller		

The two without a transfer are both in the Planning Board, and they cancel:

ACCOUNT		ORIGINAL	TRANSFERS	SPENT
511000	PLANN DIR	\$0	\$0	+\$12,796.80
511001	PLAN CLERI	\$0	\$0	-\$12,796.80

Those are the department's only two accounts in this report, and the second is the exact negative of the first. That is a **reclassification** — a salary posted to one account and journalled out of another — and it nets to nothing. No money was spent without a budget; money was moved between two accounts that both happen to carry no budget.

WHAT THIS CHANGES ABOUT THE SCHOOL FINDING

It makes the kindergarten case more unusual, not less. The one town-side example that looked like the same thing turns out to be a paired journal entry that cancels.

There is no offsetting negative anywhere in the school department. Every account in department 300 has zero or positive spending; not one carries a credit that would net the kindergarten accounts off against something else. Checked directly, because it is the first thing that would have explained them.

So on the town side, spending against a zeroed line is either covered by a transfer or is half of a recode. In the school department, \$99,064 is neither.

What would change these findings

1. **The FY26 period 13 report.** Every figure here is a position, not a result.
2. **The year-end transfer schedule.** Settles §2, §4 and §6 — every "transferred in" figure above has an unknown counterparty.
3. **A split of health insurance between town and school employees.** Settles the open half of §5, and is the largest single unmeasured school cost in the town books.
4. **Finance Committee minutes from 14 July 2026.**

How to reproduce

```
python3 scripts/build_db.py
python3 scripts/verify_fy26_closeout_town.py
```